Class Note- 1
10 Principles of Economics

Chapter 1: *Ten Principles of Economics*

- Society faces many decisions: What jobs will be done? Who will work those jobs? What will be produced? To who do the goods produced and services provided go to?
- How great would it be to have the *Magic Matter Making Machine 3000*? Whenever you want a new car, type in the make, model, and color then BAM! You get a brand new Ferrari. Out of gas? Tell the machine to produce more and refill the tank. Hungry? Filet Minion cooked however you want whenever you want! I want to live in that world!
- Unfortunately we can't get whatever we want whenever we want it. All resources are **scarce.**
    - ***Scarcity*** – the limited nature of society's resources.
    - Society has limited resources and therefore cannot produce all the goods and services people wish to have.
- ***Economics –*** is the study of how society manages its scarce resources.
    - Resources are *allocated* (distributed) not by one dictator, but by millions of households (consumers) and firms (producers).
    - Economists study how people make decisions, how people interact with one another, and analyze forces and trends that affect the economy as a whole.

1. *How People Make Decisions* (Principles 1-4)

- It's funny to think that in a simplified sense, an economy is simply a group of people dealing with one another as they go about their normal lives.
- **Principle 1: People Face Trade-offs**
    - "There ain't no such thing as a free lunch" – Discuss
    - "Trade-offs" example using *time*: When you spend 5 hours studying for your AP Microeconomics exam you give up (or "trade-off") 5 hours that you could have used to nap, go bike riding, watch movies, etc.
    - "Trade-offs" example using *money*: When you spend an extra $250 on a Coach purse, you have $250 less to spend towards college books.
    - Society as a whole faces "Trade-offs": Clean Environment vs. More Money in your Pocket:
        - Laws that require firms (factories) to reduce pollution raise the cost of producing the good.
        - Firms end up earning smaller profits, pay lower wages, and/or charge higher prices.
        - The *trade-off* for a cleaner and healthier environment is a reduction in income for firm's owners, workers, and customers.
    - Efficiency vs. Equality
        - **Efficiency** – the property of society getting the most from its scarce resources.
        - **Equality** – the property of distributing economic prosperity uniformly among the members of society.
        - *Efficiency* and *Equality* goals conflict with one another with government policies.
            - Income tax example: The financially successful contribute more taxes to the government.
            - **If the government attempts to achieve more *equality* by giving more tax dollars from the rich to the poor, what effect would it have on *efficiency*? (think …….)**
    - People are to make good decisions as long as they are aware of the trade-offs available.

- **Principle 2: The Cost of Something is What you Give Up to Get It**

- Effective decision making requires you to compare the costs and benefits of particular trade-offs.
- Let's look at an example: What are the benefits/costs of going to college?

What are the Benefits/Costs of going to College?	
Benefits	*Costs*

- Your TIME is one of the most significant costs you will factor when making a decision.
- One should always be aware of the **Opportunity Costs** – whatever must be given up to obtain some item.
- ***What is the opportunity cost for a star college basketball player who wants to finish his senior year and graduate?***

- **Principle 3: Rational People Think at the Margin**
  - Economists assume people are rational.
  - **Rational People** – people who systematically and purposefully do the best they can to achieve their objectives. *If a person who aspired to be rich by any means necessary saw a suitcase of money sitting on the floor, what rational decision would he/she make?*
    - (Rational) Firms decide how many people to hire and much of a good to produce to *maximize profits*.
    - (Rational) Individuals decide how much time they want to work and what goods to buy to *maximize level of satisfaction (utility)*.
  - **Marginal Changes** – small incremental adjustments to a plan of action.
    - Let's say your plan of action is to study tonight for an important exam to pass AP Econ. *Would you make any marginal changes if your favorite show was on television that night?*
  - Rational people make decisions by comparing *marginal benefits* to *marginal costs*.
  - Water vs. Diamonds scenario
  - A rational decision maker will only take an action if the marginal benefit exceeds the marginal cost.
- **Principle 4: People Respond to Incentives**
  - **Incentives** – something that induces a person to act (punishment or reward).
  - When people analyze costs and benefits, they respond to incentives. Example: If the price of oranges rises, the higher price in the market is an incentive to consume less of them.
  - Policy makers (government officials) use incentives to change costs/benefits and alter behavior.
    - How would behavior change if tax on gasoline increased $1.50 per gallon?
  - Sometimes there are unintended consequences to incentives.
    - **Seat belt law (Case Study already Shared)**
      - **What is the purpose of the seat belt law?**
      - **What are the unintended consequences of the seat belt law?**

2. How People Interact (Principles 5-7)

- Sometimes our decisions not only affect ourselves, but other people.
- **Principle 5: Trade Can Make Everyone Better Off**
  - Imagine that your family isolated itself from everyone else. *How would your family survive?*
    - You would have to grow your own food.
    - Your family would have to make its own clothing.
    - You would have to build your own house.
  - Trade allows each individual to specialize in what they do best.

    - Trading also allows you to buy a greater variety of goods at a lower cost.
    - Trade allows countries to specialize and enjoy great varieties of goods and services.
- **Principle 6: Markets are Usually a Good Way to Organize Economic Activity**
    - *Centrally planned economies* (Communist countries) were controlled by government officials who determined what goods and services to produce, how much was produced, and who produced and consumed these goods and services.
    - **Market Economy** – an economy that allocates resources through the decentralized decisions of many firms and households as they interact in markets for goods and services.
    - In a *market economy*, decisions are made by millions of firms and households; Firms decide whom to hire and what to make, while households decide where to work and what to buy.
    - Prices and self-interest are what guide their decisions.
    - With millions of people making decisions for their own well being (selfishness), surprisingly enough, market economies prove to be quite good at organizing economic activity for overall economic well-being.
    - Adam Smith (the father of economics) made a famous observation where he stated that households and firms interacting in markets act as if they were guided by an "invisible hand" that leads them to desirable economic outcomes.
        - Buyers and sellers look at price to determine the demand and supply of a particular good.
        - Prices adjust (invisible hand at work) to guide individual buyers and sellers to reach outcomes that maximize the well being of society as a whole.
        - Smith's work also shows that when a government prevents prices from adjusting naturally to supply and demand, it impedes the invisible hand's ability to coordinate household and firms' decisions (taxing distorts prices).
- **Principle 7: Governments Can Sometimes Improve Market Outcomes**
    - Why do we need the government if the "invisible hand" of the market works so well?
    - *Reason 1:* Governments are necessary to enforce the laws that allow a market economy to exist.
    - **Property Rights** – the ability of an individual to own and exercise control over scarce resources.
        - If rights weren't protected by the government then:
            - Farmer Bob wouldn't grow corn if he expected it to be stolen.
            - McDonald's wouldn't serve meals unless customers paid before they leave.
            - Movie companies wouldn't make DVDs if too many illegal copies were being made.
    - *Reason 2:* Government will intervene in the economy to promote efficiency or equality.
        - *Creating efficiency:* Sometimes the government intervenes because of **Market Failure** – a situation in which a market left on its own fails to allocate resources efficiently.
            - One cause of a *market failure* is an **externality** – the impact of one person's actions on the wellbeing of a bystander. Example of *externality*: By-product of making a good is pollution in a river that contaminates drinking water.
            - Another example of *market failure* is **market power** – the ability of a single economic actor (or small group of actors) to have a substantial influence on market prices. Example of **market power** – If everyone in the town needs water, but there is only one well to get it from, then the owner might charge more money than a traditional competitive market for water.
        - *Creating equality:* Sometimes the government intervenes because the market economy ("invisible hand") can leave large disparities in economic wellbeing. Example: The "invisible hand" doesn't make sure that all people have food, clothing, and healthcare.
            - Governments collect taxes to create welfare programs to achieve an equal distribution of economic well-being.
            - Government *can* improve market outcomes, but that doesn't mean they always *will*.

3. How the Economy as a Whole Works (Principles 8-10)

- All individual interaction and their decisions make up "the economy" (as a whole).
- **Principle 8: A Country's Standard of Living Depends on Its Ability to Produce Goods and Services.**
  - 2006 – Average income for: American - $44,260; Mexican - $11,410; Nigerian - $1,050. How do you think the quality of life (standard of living) varies in these countries?
  - Living standards can change over time; historically 2% increase/year (after inflation adjustment). At that rate, the average income doubles every 35 years.
  - What causes different standards of living among countries over time?
    - Differences in countries' **productivity** – the quantity of goods and services produced from each unit of labor input. *Productivity* example: Johnny is more productive than Jane at making widgets because he can make 55/hour where she can only make 45/hour.
    - Growth rate of a nation's productivity correlates to growth rate of average income.
  - To boost standards of living, policy makers need to raise productivity by ensuring workers are well educated, have the best tools to produce goods and services, and access to the best available technology.
- **Principle 9: Prices Rise when the Government Prints too much Money.**
  - **Inflation** – an increase in the overall level of prices in the economy. Example of *inflation*: In January of 1921, a daily newspaper in Germany cost 0.30 marks. In November of 1922, the same newspaper cost 70,000,000 marks!
  - Inflation is mostly caused due to the growth in quantity of money. With the example above, Germany was tripling the amount of currency every month, essentially tripling the price of goods every month.
  - During the 1970s, the overall level of prices more than doubled – Gerald Ford called *inflation* "public enemy number one".
  - Inflation recently has been approximately 2.5% per year (that would take almost 30 years for prices to double).
- **Principle 10: Society Faces a Short-Run Trade-off between Inflation and Unemployment.**
  - Short-run effects of increasing/decreasing the quantity of money are more complex and controversial:
    - Increasing the amount of money in the economy stimulates the overall level of spending and thus the demand for goods and services.
    - Higher demand may over time cause firms to raise their prices, but in the meantime it also encourages them to hire more workers and produce a larger quantity of goods and services.
    - More hiring means more unemployment.
  - A change in quantity of money creates a short-run trade-off between inflation and unemployment.
  - This short-run trade-off plays a key role in the analysis of the **business cycle** – fluctuations in economic activity, such as employment and production.
    - Policymakers affect the short-run trade-off between unemployment and inflation by using various policies like changing the amount the government spends, the amount it taxes, the amount of money it prints.
    - Example: When the government reduces taxes, in turn you have more money to buy stuff. Let's say with the extra money you have, you buy an iPad. You and everyone else who bought an iPad with the extra money increases the demand for iPads. Apple now must hire more workers to keep up with the orders (in this case, reducing taxes reduced unemployment).